UnitedHealth Group Incorporated (UNH)

Medical cost trend breaks the model; downgrade to Underperform

Rating	**Underperform**
Price target (12-month)	**$265**
Price (August 2, 2026 close)	**$267.80**
Implied return	**(1%)**
Market cap	**$245 billion**
Analyst	**Julia Marchetti, CFA**

Key points

• Q2 2026 revenue of $86.4 billion (12% y/y) versus consensus $87.9 billion; Adjusted earnings EPS $5.55 versus $5.39 consensus.

• The medical care ratio of 86.0% is roughly 200 bps above the pricing assumption in the 2026 bids; management has repriced for 2027 but the gap persists for three more quarters.

• Adjusted EPS excludes $1.1bn of restructuring and settlement charges this quarter; on a GAAP basis the miss is wider.

• Policy risk: the Prescription Drug Affordability Act of 2026 (federal price negotiation extended to the commercial market) hits Optum Rx directly.

Our view

Our concerns about UnitedHealth crystallised this quarter. The medical care ratio rose well above the pricing assumption as outpatient utilization in Medicare Advantage ran ahead of trend. Earnings include $1.1 billion of restructuring and legal settlement charges. We think consensus estimates for the next fiscal year are too high.

Management's commentary was more cautious than the headline numbers suggest. We raise our estimates: see the table below. Our rating is relative to our Managed Care coverage and our price target horizon is 12-month.

Estimates

	2025A	2026E	2027E
Revenues ($bn)	318.6	356.4	380.5
EPS (GAAP)	$19.74	$20.95	$24.05
P/E at current price	13.6x	12.8x	11.1x
Dividend per share	$8.40	$8.40	$8.40

EPS in this table is on a GAAP basis; the company reports a Adjusted earnings figure as its headline. Fiscal years are the company's.

Valuation

Our $265 price target is based on 11x our 2027 EPS estimate, in line with the stock's three-year average multiple, cross-checked with a DCF (WACC 9.3%, terminal growth 3.4%).

Risks to our view

• Medical cost trend normalises faster than we model (upside risk)

• Adverse Medicare Advantage rate notice

• Regulatory action on PBM practices

Important disclosures

Analyst certification: I, Julia Marchetti, certify that the views expressed in this report accurately reflect my personal views about the subject securities and that no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views in this report.

Rating definitions: Halvard Research uses a 3-point scale: Outperform, Market Perform, Underperform. Ratings reflect expected total return relative to the analyst's coverage universe over a 12-month horizon. Halvard Research ratings are not directly comparable with those of other firms.

Rating category	Count	% of coverage	% investment banking clients
Outperform	21	33%	20%
Market Perform	20	32%	30%
Underperform	22	35%	40%

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